Meridian Coffee Roasters
2023 Annual Summary

## 1. Overview

Meridian Coffee Roasters is a specialty coffee company founded in 2016 in Portland, Oregon.

As of 31 December 2023 Meridian employed 71 people, of whom 44 worked in production and logistics, 16 in retail and customer support, and 11 in corporate functions. The Sacramento facility opened in June 2023 and was still ramping at year end.

## 2. Product Lines

Meridian sold through two product lines in 2023.

(a) Origin Series - single-origin beans from Ethiopia, Colombia and Guatemala, roasted in 12 kg batches. Origin Series accounted for 46 percent of 2023 revenue.

(b) Daily Blend - the year-round house blend. Daily Blend accounted for 54 percent of 2023 revenue.

Cold Brew Concentrate was in development throughout 2023 and did not go on sale until March 2024. It contributed no 2023 revenue.

## 3. Sourcing

The average price paid to producers in 2023 was 2.84 US dollars per pound, roughly 59 percent above the C-market benchmark for the period.

Average time from landing to roast was 41 days. Meridian worked with 19 producer partners across six countries in 2023.

## 4. Roasting Operations

Combined 2023 roasted volume was 495 metric tonnes. Roast loss averaged 16.4 percent. Quality control rejected 2.6 percent of batches, redirecting them to the discount channel.

The Sacramento 70 kg roaster was commissioned in June 2023 and ran below half utilisation for the remainder of the year.

## 5. Financial Results

Total revenue for 2023 was 15.1 million US dollars, up 17 percent from 12.9 million in 2022. Gross margin was 38 percent.

Operating expenses were 6.1 million dollars. Net loss was 284,000 dollars. 2023 was the company's seventh consecutive unprofitable year.

Cash at year end was 1.1 million dollars against 1.8 million of debt.

Revenue by channel:

| | |
|---|---|
| Direct-to-consumer subscriptions | 5.8 million |
| Wholesale to cafes | 6.1 million |
| Retail (two Portland storefronts) | 2.3 million |
| Discount and seconds channel | 0.9 million |

Wholesale was the largest channel in 2023. It was overtaken by subscriptions during 2024.

## 6. Subscriptions

The subscription programme reached 14,900 active subscribers in December 2023, up from 9,400 a year earlier. Monthly churn averaged 5.7 percent.

The average subscriber ordered 1.5 bags per month at an average order value of 19.80 dollars. Customer acquisition cost was 44 dollars.

There was no annual prepay plan in 2023; it was introduced in February 2024.

## 7. Retail

The two Portland storefronts generated 2.3 million dollars in 2023. The Hawthorne location outperformed the Pearl District location on revenue per square foot by a factor of 1.6.

## 8. Sustainability

The Portland facility moved to renewable electricity in March 2023; Sacramento followed in January 2024. Packaging remained conventional laminate throughout 2023; the compostable film transition began in August 2024.

Direct roasting emissions were an estimated 268 tonnes $CO_2e$ in 2023.

## 9. Outlook for 2024

Management expected revenue between 17 and 19 million dollars for 2024, and identified the launch of Cold Brew Concentrate as the principal growth driver.